

LFB HOLDINGS

Decision Distortion Assessment Reports

BASE REPORT

Your Decision Distortion Assessment — Bias Is Your Dominant Force

Your assessment is in. Of the four forces that bend organizational judgment under pressure, bias is showing up most actively in your company right now.

Of the four forces — noise, bias, accumulation, and incentive misalignment — bias is the one that moves in a single direction. Noise scatters conclusions randomly; accumulation builds through the weight of individually-defensible decisions; incentives govern the rate at which either compounds. Bias does something different: it systematically bends judgment toward a predictable conclusion before the evidence has had a real chance to land. That consistency is what makes it compound rather than cancel — and what makes it nearly invisible from inside the organization experiencing it.

What bias is

Bias is systematic directional error: judgment pushed consistently in a predictable direction regardless of the evidence. It operates through a mechanism Kahneman calls WYSIATI — What You See Is All There Is. The fast cognitive system constructs coherent, confident narratives from whatever information is available without registering what's absent. The resulting confidence feels warranted because the narrative is internally consistent — not because the underlying judgment is accurate.

Four forms show up most in venture-backed companies. Overconfidence — systematically underestimating implementation complexity, competitive response, and time to revenue. Confirmation bias — weighting evidence that supports the current thesis and discounting evidence that doesn't, often without awareness that the filtering is happening. The planning fallacy — building timelines and resource plans from the inside out, ignoring the base rate of what typically happens to companies at this stage. And escalation of commitment — continuing in a direction past the point where the evidence supports it, because stopping means realizing the original call was wrong.

What these forms share: they don't look like errors from inside. They look like clear thinking, conviction, and pattern recognition.

How it typically shows up

A Series B company raised on a strong enterprise thesis. Early pilots look promising. Six months in, renewal conversations come back soft — not bad, not good, but not what the model assumed. The team reads the softness as implementation friction, as a sales motion problem, as a product gap that can be closed. Each explanation is plausible. Each explanation directs resources toward fixing the thesis rather than questioning it. Twelve months later the renewal data is unambiguous. But the company has built an enterprise sales team, a customer success function, and a product roadmap all oriented around a thesis the market has been declining to confirm since month six.

Overconfidence set the original projections. Confirmation bias filtered the early signals. Escalation of commitment kept the machine running after the signals cleared. None of it looked like bias at the time. It looked like execution.

Where your assessment is pointing most clearly within bias is on past-success transfer — the specific form of overconfidence that arrives wearing the clothes of pattern recognition. The question your assessment flagged is whether your organization checks whether the conditions that produced a previous win still apply before using that win as justification for a current call. This failure is particularly common in founder-led companies and high-performing investor firms because it's indistinguishable from genuine expertise until it isn't. The market that rewarded a particular approach in 2021 is not the same market. The enterprise buying motion that worked at the last company isn't guaranteed to translate. Past success is real information — it's just not sufficient information, and the gap between the two is where overconfidence lives. The explicit examination doesn't have to be long. It has to happen before the past success becomes the argument.

Where to start

The first intervention is a conditions checklist before any past success is used as an argument. When a prior win is cited to justify a current direction, the room stops and names the specific conditions that made that win possible — market environment, competitive landscape, team composition, timing, customer profile. Then asks explicitly which of those conditions still hold. This doesn't have to be long. It has to happen before the past success becomes the argument, because once it's been accepted as justification the checklist feels like revisionism rather than diligence.

The second is an outside read on significant pattern-matching decisions. Before committing to a direction that rests heavily on prior experience, bring in at least one person who wasn't there for the original success and has no stake in repeating it. Not to override the pattern — to test whether it travels. The person inside the success story is the least equipped to see where the analogy breaks. The person outside it often sees the break immediately.

The research behind this

The academic foundation for what your assessment detected comes primarily from *Thinking, Fast and Slow* by Daniel Kahneman — the foundational account of how the fast cognitive system generates systematic directional errors that the slow, corrective system is too depleted or inattentive to catch. The WYSIATI mechanism, the planning fallacy, confirmation bias, and escalation of commitment are all documented there in detail. The insight that matters most for your situation: bias rarely feels like bias from the inside, because the narrative it produces is internally coherent. Coherence is not accuracy.

What's next

The full Decision Distortion whitepaper from LFB Holdings walks through how bias combines with the other three forces — noise, accumulation, and incentive misalignment — and how to locate the specific points in your decision process where a single closed gap would have the greatest effect.

If you'd like to talk through what your results mean for your company specifically, we're glad to do that.

LFB Holdings: lfbholdings.com

For ongoing case-by-case analysis of how these forces operate in real organizational decisions, Bad Call is a subscription brief that applies this framework to actual decision sequences — company autopsies, one at a time.

Bad Call: badcall.ai